Supreme Court, U.S.
FILED
FEB 24 2003
OFFICE OF THE CLERK

No. 02-634

IN THE
Supreme Court of the United States

GREEN TREE FINANCIAL CORP. a/k/a GREEN TREE ACCEPTANCE CORP. a/k/a GREEN TREE FINANCIAL SERVICES CORP. n/k/a CONSECO FINANCE CORP.,

Petitioner,

v.

LYNN W. BAZZLE AND BURT A. BAZZLE, In A Representative Capacity On Behalf Of A Class And For All Others Similarly Situated; DANIEL B. LACKEY, GEORGE BUGGS AND FLORINE BUGGS, In A Representative Capacity On Behalf Of A Class And For All Others Similarly Situated,

Respondents.

On Writ of Certiorari to the Supreme Court of South Carolina

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February 24, 2003

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COURT OF COMMON PLEAS
BARNWELL COUNTY, SOUTH CAROLINA

Docket No. 1996-CP-0600073

DANIEL B. LACKEY, GEORGE BUGGS AND FLORINE BUGGS,
on behalf of themselves and all others similarly situated,
Plaintiffs.

v.

GREEN TREE FINANCIAL CORPORATION,
Defendant,

DOCKET ENTRIES

DATE	PROCEEDINGS
5/28/1996	DOCUMENT BY PLAINTIFF S & C
6/06/1996	DOCUMENT BY PLAINTIFF AFF OF SERV/ C&T/S&C/06/01/96
7/30/1996	DOCUMENT BY DEFENDANT ANSWER
7/30/1996	DOCUMENT BY DEFENDANT MOTION TO STAY & TO COMPEL ARBITRATION
8/20/1996	DOCUMENT BY DEFENDANT AFFIDAVIT OF IRA P USRY
8/20/1996	DOCUMENT BY DEFENDANT AFFIDAVIT OF PAUL W. ROBISON
9/16/1996	DOCUMENT BY PLAINTIFF PLF MEMO IN OPPOSITION TO DEF MOTION TO COMPEL ARBITRATION

DATE	PROCEEDINGS
9/26/1996	DOCUMENT BY PLAINTIFF AFFIDAVIT OF PAULA JOHNSON
9/26/1996	DOCUMENT BY PLAINTIFF AFFIDAVIT OF DANIEL LACKEY
10/08/1996	DOCUMENT BY PLAINTIFF MOTION FOR CLASS CERTIFICATION
10/18/1996	DOCUMENT BY DEFENDANT REPLY TO PLFT'S MEMORANDUM
10/18/1996	DOCUMENT BY DEFENDANT MEMO IN SUPPORT OF MOTION FOR S/J
11/14/1996	ORDER/DEF MOT TO STAY ACTION & COMPEL ARBITRATION IS DENIED
12/17/1996	DOCUMENT BY DEFENDANT NOTICE OF APPEAL/SUPREME COURT
1/28/1997	LTR/STAYED
2/12/1997	ORDER/STAY
2/18/1997	DOCUMENT BY PLAINTIFF MOTION TO NOTIFY PUTATIVE CLASS MEMBERS
2/21/1997	AFF OF FRANK THOMAS
3/12/1997	(TO NOTIFY CLASS MEMBERS) ORDER/ MOTION DENIED
3/25/1997	ORDER/PLF MOTION TO ALTER OR AMEND ORDER DENIED
3/11/1997	LTR FROM T A BEARD TO JUDGE PLEICONES 03/11/97
11/10/1997	DOCUMENT BY DEFENDANT NOT OF MOTION & MOTION FOR A PROTECTIVE ORDER

DATE	PROCEEDINGS
4/03/1998	COURT OF APPEALS REVERSED & REMANDED ORDER
7/27/1998	ORDER/ASSIGNING TO JUDGE THOMA J ERVIN 7/27/98
11/23/1998	DOCUMENT BY DEFENDANT MOTION TO STAY ARBITRATION ORDER
1/21/1999	MOTION TO STAY ARBITRAT IS DENIED
1/25/1999	DOCUMENT BY PLAINTIFF MEMORAN-DUM IN SUPPORT OF MOTIO TO STAY
5/19/1999	ORDER DENYING DEF MOTION TO STAY ARBITRATION
5/24/1999	AFF OF PUBLICATION
5/25/1999	DOCUMENT BY PLAINTIFF AFF OF PUBLICATION
11/23/1999	ORDER/PARTIES AGREE TO BINDING ARBITRATION
7/25/2000	ORDER
7/25/2000	FINAL ORDER & AWARD IN ARBITRA
7/25/2000	DOCUMENT BY PLAINTIFF MOTION TO CONFIRM AWARD
7/25/2000	DOCUMENT BY PLAINTIFF CERT OF SERV ON MOTION TO CONFIRM AWARD
8/07/2000	DOCUMENT BY DEFENDANT MOTION TO REMAND TO ARBITRATOR
8/14/2000	DOCUMENT BY PLAINTIFF OBJECTION TO DEF'S MOTION TO REMAND CASE TO ARBITRATOR

DATE	PROCEEDINGS
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8/22/2000	DOCUMENT BY PLAINTIFF MEM IN SUPPORT OF MOTION TO CONFIRM FINAL ORDER&AWARD ARBI & OPPOSITION TO MOT TO VACATE
9/20/2000	DOCUMENT BY DEFENDANT REPLY TO PLF MEMORANDUM
10/17/2000	DOCUMENT BY PLAINTIFF RETURN TO DEF REPLY BRIEF
12/19/2000	ORDER CONFIRMING FINAL ORDER & AWARD IN ARBITRATION AND DENYI MOTION TO VACATE
1/16/2001	DOCUMENT BY DEFENDANT NOTICE OF APPEAL
2/09/2001	ORDER OF DISMISSAL FROM SC COUR OF APPEALS
3/06/2001	LETTER FROM SC COURT OF APPEAL GRANTING PETITION TO REINSTATE APPEAL
6/29/2001	ORDER APPROVING BOND & GRANTIN SUPERSEDEAS
7/23/2002	CONSENT ORDER MODIFYING SUPERS-EDEAS BOND 7/22/2002

DATE	PROCEEDINGS
10/14/2002	ORDER FROM THE SC SUPREME CRT AFFIRMING THE ARBITRATOR'S AWARD IN BOTH CASES
10/16/2002	DOCUMENT BY DEFENDANT MOTION TO STAY ENFORCEMENT OF JUDGMENT
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12/16/2002	DOCUMENT BY DEFENDANT WRIT OF SUPERSEDEAS BOND

COURT OF COMMON PLEAS
DORCHESTER COUNTY, SOUTH CAROLINA

No. 00-CP-18-793
F/K/A C/A No. 97-CP-18-258

LYNN W. BAZZLE and BURT A. BAZZLE,
in a representative capacity on behalf of a class
and for all others Similarly situated,
Plaintiffs,

v.

GREEN TREE FINANCIAL CORP. a/k/a GREEN TREE ACCEPTANCE CORPORATION a/k/a GREEN TREE FINANCIAL SERVICES CORPORATION n/k/a CONSECO FINANCE, INC.,
Defendants.

RELEVANT DOCKET ENTRIES*

DATE	PROCEEDINGS
3/25/97	Summons and Complaint
4/21/97	Amended Complaint
4/21/97	Plaintiff's Motion for Class Certification
5/08/97	Answer of Green Tree Financial Corporation
5/28/97	Answer to Amended Complaint
5/28/97	Return to Motion for Class Certification
5/28/97	Defendants' Motion to Stay and Compel
8/15/97	Affidavit of Jeffrey Surratt

* Compiled from the pleadings on file with the Court of Common Pleas, Dorchester County, South Carolina.

DATE	PROCEEDINGS
8/28/97	Plaintiffs' Motion to Compel Relating to Plaintiffs' First Set of Interrogatories and Request to Produce
9/08/97	Defendants' Motion for Protective Order
12/02/97	Hearing
12/05/97	Defendants' Memorandum in Support of Motion to Compel Arbitration
12/05/97	Plaintiffs' Memorandum of Law
12/05/97	Plaintiffs' Memorandum in Opposition to Motion to Compel Arbitration
12/05/98	Ruling on Defendants' Motion to Compel
12/05/98	Ruling on Plaintiffs' Motion for Class Certification
1/05/98	Order Granting Defendants' Motion to Compel
1/05/98	Order Compelling Discovery
1/05/98	Order Granting Class Certification
1/07/98	Supplemental Order Granting Class Certification
1/20/98	Defendants' Motion for Reconsideration
2/04/98	Defendants' Memorandum in Support of Motion for Reconsideration
2/05/98	Order Expediting Transcript
2/06/98	Plaintiffs' Motion for Rule to Show Cause
2/24/98	Plaintiffs' Memorandum in Opposition to Motion to Reconsider
2/24/98	Hearing on Motion to for Reconsideration
3/17/98	Order Denying Motion for Reconsideration

DATE	PROCEEDINGS
3/20/98	Defendants' Return to Rule to Show Cause and Motion for Sanctions
4/03/98	Defendants' Notice of Appeal
4/14/98	Plaintiffs' Motion to Compel
4/24/98	Order
5/04/98	Order
6/15/98	April 28, 1998 Order of Court of Appeals dismissing appeal filed with Court of Common Pleas
7/01/98	Notice of Motion
7/29/98	Order
2/09/99	Feb. 5, 1999 letter from Supreme Court of South Carolina re: Order Denying Defendants' Petition for a Writ of Certiorari, filed with Court of Common Pleas
2/12/99	Feb. 11, 1999 Remittitur of the South Carolina Court of Appeals filed with Court of Common Pleas
2/24/99	Plaintiffs' Motion to Compel Appointment of Arbitrator
5/10/99	Defendants' Notice of Motion and Motion to Dismiss
5/20/99	Defendants' Return to Motion to Appoint Arbitrator
5/20/99	Hearing on Motion to Compel and Motion to Dismiss
6/02/99	Order Appointing Arbitrator
7/19/00	Judgment on Order by the Court

DATE	PROCEEDINGS
7/25/00	Final Order and Award in Arbitration
8/08/00	Defendants' Motion to Remand to Arbitrator
8/10/00	Notice of Hearing
8/14/00	Plaintiffs' Objection to Defendant's Motion to Remand Case to Arbitrator
8/18/00	Order Restoring to Docket (00-CP-18-793)
8/28/00	Defendant's Motion to Vacate Award in Arbitration and Objection to Motion to Confirm Award
9/05/00	Plaintiffs' Memorandum in Support of Motion to Confirm Final Order and Award in Arbitration and in Opposition of Motion to Vacate
9/05/00	Defendant's Memorandum in Support of Motion to Vacate Award in Arbitration and Objection to Motion to Confirm Award
9/18/00	Order Confirming Award
9/18/00	Order Denying Motion to Remand to Arbitrator for Amendment and Clarification
9/29/00	Order for Supplemental Proceedings
11/13/00	Defendant's Motion for Supersedeas and Stay of Enforcement of Judgment Pending Appeal and for Approval of Supersedeas Bond
1/08/01	Order Approving Bond and Granting Supersedeas
10/16/02	Notice of Motion and Motion to Execute on Bond or Alternatively for Supplemental Surety Bond
11/27/02	Consent Order Modifying Supersedeas Bond

SUPREME COURT OF THE
STATE OF SOUTH CAROLINA

No. 25523

LYNN W. BAZZLE and BURT A. BAZZLE,
in a representative capacity on behalf of a class
and for all others similarly situated,
Respondents,

v.

GREEN TREE FINANCIAL CORP. a/k/a GREEN TREE ACCEPTANCE CORPORATION a/k/a GREEN TREE FINANCIAL SERVICES CORPORATION n/k/a CONSECO FINANCE, INC.,
Appellant.

DANIEL B. LACKEY, GEORGE BUGGS, and FLORINE BUGGS,
in a representative capacity on behalf of a class
and for all others similarly situated,
Respondents,

v.

GREEN TREE FINANCIAL CORP. a/k/a GREEN TREE ACCEPTANCE CORPORATION a/k/a GREEN TREE FINANCIAL SERVICES CORPORATION n/k/a CONSECO FINANCE, INC.,
Appellant.

RELEVANT DOCKET ENTRIES*

DATE	PROCEEDINGS
10/12/00	Not. of App. to SC CA challenging Order of 01/02/98, supp. by Order, 01/07/98; Order deny'g Green Tree's Mot. for Recon., 03/16/98, and Order confirm. Arbit.'s award, 09/15/00

* Compiled from the pleadings on file with the Supreme Court of South Carolina.

DATE	PROCEEDINGS
10/13/00	Amend. Not. of App. to SC CA challenging Order of 01/02/98, supp. by Order, 01/07/98, Order deny'g Green Tree's Mot. for Recon., 03/16/98, Award in Arbit., 07/24/00, and Order confirm. Arbit.'s award, 09/15/00
10/18/00	Ltr from Green Tree to SC CA re: case numbers below
10/20/00	Ltr from Green Tree to SC CA re: transcripts ordered and rec'd
10/20/00	Resp's Not. of Mot. to SC Sup.Ct. and Mot. to Recall Case from the Court of Appeals
10/31/00	Resp's Fax to SC Sup. Ct. attch'g Order of 01/02/98, supp. by Order, 01/07/98, Order deny'g Green Tree's Mot. for Recon., 03/16/98, Award in Arbit., 07/24/00, Order Restoring to Dckt, 08/18/00, and Order confirm. Arbit.'s award, 09/15/00
11/02/00	App's Return to Mot. to Recall Case from the Court of Appeals
01/08/01	App's and Resp's Joint Not. of Mot. and Mot. to Consol. Record on Appeal
01/16/01	Resp's Not. of Mot. to Dismiss and supp. Mem.
01/25/01	App's Reply to Mot. for Part. Dismissal of Appeal
02/22/01	Order withdrawing appeal from S.C. CA, establishing briefing schedule, and consolidating Record on Appeal
04/26/01	Initial Br. of App.
04/26/01	App's Designation of Matter to be Included in the Record on Appeal
05/09/01	App's Mot. for Admin. Pro Hac Vice

DATE	PROCEEDINGS
06/18/01	Resp's Mot. for Ext. to File Initial Br. of Resp.
07/17/01	Am. Cur's Mot. for Admin. Pro Hac Vice
07/17/01	Am. Cur's Mot. for Leave to File Am. Cur. Br.
07/17/01	Brief of Am. Cur. Am. Bankers Assoc., Am. Fin. Servs. Assoc., Consumer Bankers Assoc., S.C. Bankers Assoc., and S.C. Merchants Assoc. in Support of App. Green Tree Fin. Corp.
07/23/01	Initial Br. of Resp.
08/01/01	App's ltr to clerk re: request for unopp. exten. of time of 45 days to file App's Reply Brs.
08/29/01	Resp's Reply Br. to Am. Cur. Filed on Behalf of the Am. Bankers Assoc., Am. Fin. Servs. Assoc., Consumer Bankers Assoc., S.C. Bankers Assoc., and S.C. Merchants Assoc.
09/19/01	Consol. Reply Br. of App.
09/19/01	App's Supp. Designation of Matter to be Included in Record on the Appeal
10/12/01	App's ltr to clerk re: request for exten. of time of 30 days to file Record on Appeal
11/20/01	Record on Appeal, vols. I-VIII served on Resp.
12/04/01	Final Br. of Resp.
12/06/01	Record on Appeal, vols. I-VIII filed w/ Court
12/06/01	Final Br. of App.
12/06/01	Final Reply Br. of App.
01/11/02	Resp's Not. of Mot. and Mot. to Expedite Hearing
01/15/02	Resp's ltr to clerk re: resp's availability for hearing in March

DATE	PROCEEDINGS
02/05/02	App's ltr to clerk re: req. for consolidation of oral argument
03/11/02	Am. Cur. National Association of Consumer Advocates Mot. for Admin. Pro Hac Vice of Michael D. Donovan and Ira Rheingold
03/11/02	Am. Cur. National Association of Consumer Advocates Mot. for Leave to File Br. of Am. Cur.
03/14/02	Oral Argument set for 03/21/02; 15 min. allotted to each side w/ five min. in reply in each case
03/18/02	App's ltr to clerk re: req. for consolidation of oral argument
03/20/02	Argument time to remain 15 min. per side for each case.
03/21/02	Br. of Am. Cur. National Association of Consumer Advocates in Support of Resp.
03/21/02	Oral Argument
03/28/02	Resp's ltr to clerk re: req. for tape of oral argument
07/11/02	Resp's Amend. Mot. for Admin. Pro Hac Vice of Michael D. Donovan
07/17/02	App's ltr to clerk neither opposing nor consenting to Resp's Amend. Mot. for Admin. Pro Hac Vice of Michael D. Donovan
08/26/02	Opinion of Court filed
10/31/02	U.S. Sup. Ct. Clerk's ltr to clerk re; petition for certiorari filed w/ U.S. Sup. Ct. 10/23/02, and placed on U.S. Sup. Ct. docket 10/25/02 as No. 02-634

DATE	PROCEEDINGS
01/30/03	U.S. Sup. Ct. Clerk's ltr to clerk re; petition for certiorari granted for 02-634 on 01/10/03

STATE OF SOUTH CAROLINA
COUNTY OF BARNWELL

IN ARBITRATION

DANIEL B. LACKEY, GEORGE BUGGS, FLORINE BUGGS, MICHAEL HIGHSMITH, AND PAULA JOHNSON,
Plaintiffs,

v.

GREEN TREE FINANCIAL CORPORATION,
Defendant.

MEMORANDUM OF GREEN TREE FINANCIAL CORPORATION

INTRODUCTION

This memorandum is submitted on behalf of the Defendant Green Tree Financial Corporation (hereinafter Green Tree). The purpose of this memorandum is to address the single issue of whether an arbitration may proceed as a class action in the absence of specific language in the arbitration agreement permitting class treatment in arbitration. Additional issues concerning class certification under Rule 23 and questions of the necessity for class treatment are reserved to be addressed at a later time if necessary.

Arbitration was compelled in this case pursuant to the Federal Arbitration Act (FAA) 9 USCA §1 et. seq. Green Tree submits that federal law interpreting the FAA controls this issue and preempts state law or regulation to the contrary. Green Tree submits further that the principle has been well established in the federal decisions dealing with or related to

the issue that the parties may not be subjected to state class action procedures in arbitration unless the arbitration agreement expressly permits class treatment in arbitration.

STATEMENT OF FACTS

Green Tree is a financial services company doing business nationwide. From the complaint it appears that the Plaintiffs Highsmith, Johnson and Buggs are all individuals who financed the purchase of mobile homes. The Plaintiff Lackey financed home improvements. The consumer financing paper in each transaction was assigned to Green Tree. Each of the transactions involved a mortgage on real property in South Carolina. However, the Highsmith and Lackey transactions took place in Georgia. The other transactions took place in South Carolina.

Each of the named Plaintiffs executed a Retail Installment Sales Contract which included an agreement to submit all claims to arbitration. While the wording of the agreements were not identical, they each required arbitration and none of the arbitration agreements permit class treatment in arbitration. Attached hereto for the arbitrators convenience are affidavits filed with the Court in connection with previous proceedings identifying the financing agreements.

Green Tree moved in the Circuit Court to stay the litigation and compel arbitration. The motion to compel arbitration was denied. On appeal the Circuit Court's order was reversed by the Court of Appeals. The case was remanded to the Circuit Court for further proceedings.

SUMMARY OF ARGUMENT

1. The FAA supersedes state law and procedure and requires the enforcement of arbitration agreements according to their terms and no more, notwithstanding state law or procedure to the contrary.

* * * *

STATE OF SOUTH CAROLINA
COUNTY OF BARNWELL

IN THE COURT OF COMMON PLEAS
SECOND JUDICIAL CIRCUIT
C/A No. 96-CP-06-073
IN ARBITRATION

DANIEL B. LACKEY, GEORGE BUGGS, FLORINE BUGGS,
MICHAEL HIGHSMITH AND PAULA JOHNSON,
Plaintiffs,

vs.

GREEN TREE FINANCIAL CORPORATION,
Defendant.

NOTICE OF CLASS ACTION

TO: ALL PERSONS WHO OBTAINED A LOAN OR CREDIT SALE SECURED BY REAL ESTATE IN SOUTH CAROLINA IN THE NAME OF GREEN TREE, BY WAY OF ASSIGNMENT, ORIGINATION, OR OTHERWISE, AFTER JULY 1, 1982 AND WHO MADE A PAYMENT ON SUCH LOAN ON OR AFTER MAY 28, 1993 (THE "CLASS").

PLEASE READ THIS NOTICE CAREFULLY AND IN ITS ENTIRETY. YOUR RIGHTS WILL BE AFFECTED BY PROCEEDINGS IN THIS LITIGATION.

1. NOTICE IS HEREBY GIVEN that Daniel B. Lackey, George Buggs, Florine Buggs, Michael Highsmith, and Paula Johnson, the individual plaintiffs named above (the "Named Plaintiffs") have filed an action (the "Action") in the

Court of Common Pleas for Barnwell County (the "Circuit Court") on behalf of themselves and all other members of the Class.

2. By Order of the Circuit Court, this case was submitted to binding arbitration and The Honorable Thomas J. Ervin was appointed as the arbitrator. On December 1, 1998, Arbitrator Ervin ruled that the Action should be maintained as a class action under the provisions of Rule 23 of the South Carolina Rules of Civil Procedure and approved the Named Plaintiffs as the Class Representatives

3. This Notice is not to be construed as an expression of any opinion by the Arbitrator with respect to the merits of the respective claims or defenses of the parties. Rather, this Notice is sent merely to inform you that this Action is pending and to advise you of the rights you have with respect to this Action

I. BACKGROUND OF THE ACTION

4. In May 1996, the named Plaintiffs began this law suit by filing and serving a Summons and Complaint against Green Tree Financial Corporation ("Green Tree" or the "Defendant"). In the Complaint, the Named Plaintiffs allege that Green Tree violated the South Carolina Consumer Protection Code. The Consumer Protection Code Section 37-10-105 imposes penalties on lenders who fail to timely ascertain the preference of a borrower as to the lawyer who would represent him or her in connection with the closing of a real estate secured credit sale or loan transaction and the preference of the borrower as to an insurance agent who would supply property insurance in connection with the lien.

5. Green Tree has denied, and continues to deny any wrongdoing and denies any liability to the Named Plaintiffs or to any member of the Class.

II. CURRENT STATUS

6. As stated previously the Arbitrator has just recently granted class certification. This case is now proceeding through the notice and opt out proceedings. Also, during this time the Named Plaintiffs are preparing for a final hearing on the merits. The Class as currently certified includes all of the individuals:

> (a) who entered into a loan or credit sale transaction after July 1, 1982, in the name of Green Tree, by way of assignment, origination, or otherwise, for personal, family, or household purposes who executed mortgages or any other liens secured in whole or in part by real estate in South Carolina; and
>
> (b) a payment was made within three (3) years of May 28, 1996; and
>
> (c) the transaction documents contain an arbitration clause; however,
>
> (d) excluding retail installment contracts for home improvements that were secured by a mortgage lien on which payment has been made within three years of March 25, 1997.

7. The Arbitrator has not yet issued an order that sets the time frame for this case to go to a final arbitration hearing.

III. OPTIONS AVAILABLE TO CLASS MEMBERS

8. You have a choice whether or not to remain a member of the Class on whose behalf this suit is being maintained. Either choice will have consequences that you should understand before making your decision.

9. Upon written request from a Class Member, the Arbitrator, will exclude any member of the Class to whom this Notice is addressed. If you exclude yourself from the Class, you will not be bound by any decision, judgment or

order in the above-captioned Action. Persons who request such exclusion will not be entitled to share in the benefits of any settlement or judgment if it is favorable to the Class, and will not be bound by the settlement or judgment if it is adverse to the Class.

10. Any Class member who does not request to be excluded will *automatically* be included in this Action as members of the Class represented by the Named Plaintiffs. All members of the Class will also be bound by the orders entered and notices hereafter given in this Action.

11. If you wish to remain in the Class, no action is required on your part.

12. If you desire to be excluded from the Class, you *MUST* file a Request for Exclusion with the Office of Bradford P. Simpson, Columbia, South Carolina (Mailing address: Post Office Box 8, Columbia, South Carolina 29202) on or before June 23, 1999. Any Request for Exclusion must be *received* by Mr. Simpson no later than 5:00 p.m. E.S.T. on June *25,* 1999. A Request for Exclusion form may be obtained from the lawyers listed in Paragraph 13.

13. Requests for Exclusion forms that remove you from the Class must be served upon:

FOR THE CLASS:
Bradford P. Simpson, Esquire
B. Randall Dong, Esquire
SIMPSON & DONG, LLC
Post Office Box 8
Columbia, South Carolina 29202-0008

FOR GREEN TREE:
Herbert W. Hamilton, Esquire
KENNEDY, COVINGTON, LOBDELL
& HICKMAN
Post Office Box 11429
Rock Hill, South Carolina 29731

IV. APPEARANCE BY COUNSEL

14. If you choose, you have the right, but are not required, to enter an appearance through an attorney of your choice. Your attorney should mail a Notice of Appearance to the attorneys listed in Paragraph 15 below. *If you do not enter an appearance through your own attorney, your interests will be represented by the attorneys for the Named Plaintiffs whose names are listed in Paragraph 16.*

15. Notice of Appearance by your attorney must be served upon:

FOR THE CLASS:
Bradford P. Simpson, Esquire
B. Randall Dong, Esquire
SIMPSON & DONG, LLC
P.O. Box 8
Columbia, South Carolina 29202-0008

FOR GREEN TREE:
Herbert W. Hamilton, Esquire
KENNEDY, COVINGTON, LOBDELL
& HICKMAN
Post Office Box 11429
Rock Hill, South Carolina 29731

16. Counsel for the Named Plaintiffs and for members of Class ("Class Counsel) are as follows:

SIMPSON & DONG, LLC
Bradford P. Simpson, Esquire
B. Randall Dong, Esquire

BEARD LAW OFFICES
T. Alexander Beard, Esquire

TERRENI LAW FIRM
Charles L.A. Terreni, Esquire

SUGGS & KELLY
LAWYERS, P.A.
D. Michael Kelly, Esquire
John D. Kassel, Esquire
Kelli L. Sullivan, Esquire

BEDINGFIELD & WILLIAMS
Daniel W. Williams, Esquire

RICHARDSON, PLOWDEN
CARPENTER &
ROBINSON, P.A.
Steven W. Hamm, Esquire
Mary S. League, Esquire

DIBBLE LAW OFFICES
Charles L. Dibble, Esquire

C. RICHARD KELLY, P.C.
C. Richard Kelly, Esquire

DROSE LAW FIRM
Thomas M. Fryar, Esquire.

MARY LEIGH ARNOLD, P.A.
Mary Leigh Arnold, Esquire

IV. ADMINISTRATIVE MATTERS

17. All documents which you file should be entitled "*Lackey, et al., v. Green Tree Financial Corporation*." as shown in the caption above and, at a minimum, should include the case file number, Civil Action No. 96-CP-06-073. The date and time of actual receipt by the attorneys listed in Paragraphs 13 and 15 will determine whether any documents you may file or serve meet the time limit requirements.

18. You should call *1-800-772-0582 (toll free)* with any and all questions concerning this Notice and one of the attorneys for the Class will respond to you. The pleadings and other papers filed in this Action are available for inspection in the Office of Simpson & Dong, LLC in Columbia, South

Carolina. *PLEASE DO NOT CALL THE CIRCUIT COURT, THE ARBITRATOR, OR THE OFFICE OF THE CLERK OF COURT.*

19. If your address changes or is different from the address stated on the envelope enclosing this Notice, you should immediately inform the attorneys listed in Paragraph 13.

20. Although there has been a determination by the Arbitrator that this law suit may continue as a class action, the Arbitrator has not made any decision on the merits of the case. Whether or not the Named Plaintiffs will prevail, has not been decided.

21. CLASS COUNSEL HAVE REQUESTED THAT THE ARBITRATOR INCLUDE IN THIS NOTICE THE FOLLOWING STATEMENT FROM CLASS COUNSEL:

"BECAUSE THE OUTCOME OF ANY LAWSUIT IS ALWAYS UNCERTAIN, CLASS COUNSEL ADVISE ALL MEMBERS OF THE CLASS TO CONTINUE MAKING THEIR REGULAR MONTHLY PAYMENTS TO GREEN TREE."

V. SPECIAL NOTICE TO CLASS MEMBERS IN BANKRUPTCY

22. All members of the Class who have filed bankruptcy since their loan or credit sale closing should provide their bankruptcy attorney with a copy of this Notice.

BY ORDER OF THE ARBITRATOR

/s/ Thomas J. Ervin, Arbitrator
THOMAS J. ERVIN, ARBITRATOR

February 15, 1999

STATE OF SOUTH CAROLINA
COUNTY OF BARNWELL

IN ARBITRATION

DANIEL B. LACKEY, GEORGE BUGGS, FLORINE BUGGS, MICHAEL HIGHSMITH, AND PAULA JOHNSON,
Plaintiffs,

v.

GREEN TREE FINANCIAL CORPORATION,
Defendant.

CONSENT ORDER FOR BIFURCATION

This matter came before me for a hearing on January 28, 2000. Present at the hearing were counsel for the Plaintiffs and counsel for the Defendant. There were several issues heard at that time. It was determined that the parties could agree to the following:

1. Green Tree's consent to this order is subject to the ongoing objection to the arbitrator's authority to compel class treatment in this arbitration.

2. All class members whose contract is dated after September 25, 1995 will be bifurcated out for arbitration at a later date if necessary. Further investigation is necessary before it can be determined if these individuals may proceed with their claims and thus are being bifurcated out of this arbitration which is currently scheduled for the week of March 6, 2000. All motions filed by both parties are reserved for later determination.

3. All class members who have a home improvement contract secured by real estate will be bifurcated out for arbitration at a later date subject to pending motions.

4. The parties understand that the motions in the Bazzle case will be heard at a later date. At that time, the arbitrator will decide whether the home improvement portion of the Lackey case, which includes the named plaintiff Lackey, will be consolidated with the Bazzle case.

IT IS SO ORDERED.

/s/ Thomas J. Ervin Arbitrator
THOMAS J. ERVIN
ARBITRATOR

March 2, 2000

WE CONSENT:

/s/Bradford P. Simpson
BRADFORD P. SIMPSON
SUGGS & KELLY LAWYERS, P.A.
P.O. Box 8113
Columbia, SC 29202
ATTORNEYS FOR THE PLAINTIFFS

/s/Herbert W. Hamilton
HERBERT W. HAMILTON
KENNEDY COVINGTON LOBDELL
& HICKMAN, L.L.P.
P.O. Box 11429
Rock Hill, SC 29731
ATTORNEYS FOR THE DEFENDANT

STATE OF SOUTH CAROLINA
COUNTY OF DORCHESTER

COURT OF COMMON PLEAS
CIVIL ACTION NO. 00-CP-18-443
F/K/A C/A NO. 97-CP-18-258

LYNN W. BAZZLE and BURT A. BAZZLE,
in a representative capacity on behalf of a class and for all others similarly situated,

Plaintiffs,

v.

GREEN TREE FINANCIAL CORPORATION a/k/a GREEN TREE ACCEPTANCE CORPORATION a/k/a GREEN TREE FINANCIAL SERVICES CORPORATION n/k/a CONSECO FINANCE, INC.,

Defendants.

MEMORANDUM IN SUPPORT OF MOTION TO CONFIRM FINAL ORDER AND AWARD IN ARBITRATION AND IN OPPOSITION OF MOTION TO VACATE

The Plaintiffs, in their individual and representative capacities, submit by and through their undersigned attorneys, this Memorandum of Law in support of their Motion to Confirm Final Order and Award in Arbitration filed on July 25, 2000 and in opposition to Defendants' Motion to Vacate Arbitrator's Award filed on August 24, 2000.

PROCEDURAL HISTORY

On March 25, 1997, Burt and Lynn Bazzle commenced an action against Green Tree and Patton General Contracting (hereinafter "Patton") in the Court of Common Pleas, Dorchester County, South Carolina (formerly Civil Action

No. 97-CP-18-258, now Civil Action No. 000-CP-18-443), arising out of a home improvement financing agreement. The Complaint includes causes of action for unconscionable conduct and violation of the attorney and insurance preference provision of the South Carolina Consumer Protection Code.

On April 21, 1997, the Bazzles filed an Amended Complaint, which incorporated class action allegations. On the same day, the Bazzles filed a Motion for Class Certification. On May 21, 1997, Green Tree filed an Answer to the Amended Complaint and filed a Motion to Compel Arbitration.

On December 5, 1997, The Honorable Patrick R. Watts, Master-In-Equity, sitting as Special Circuit Court Judge, heard and ruled on the Bazzles' Motion for Class Certification and Green Tree's Motion to Compel Arbitration. The Motion for Class Certification was filed and heard first. After the Motion for Class Certification was granted, Green Tree prosecuted its Motion to Compel Arbitration. Two (2) separate formal Orders memorializing the Rulings of December 5, 1997 were filed: (1) an Order Granting Class Certification; and (2) an Order granting Green Tree's Motion to Compel Arbitration. On January 7, 1998, a Supplemental Order to the Order Granting Class Certification correcting a scrivener's error was filed.

On January 20, 1998, Green Tree filed a Motion for Reconsideration of the Court's Order granting class certification. On February 24, 1998, a hearing was held on Green Tree's Motion for Reconsideration. On March 17, 1998, Green Tree's Motion for Reconsideration was denied. On or about April 1, 1998, Green Tree filed a Notice of Appeal.

Shortly after receiving Green Tree's Notice of Appeal, the Clerk of the Court of Appeals wrote to counsel of record inquiring as to the appropriateness of the appeal. The Bazzles

responded to the inquiry by filing a Motion to Dismiss on the grounds that the appeal was interlocutory.

On April 28, 1998, the Court of Appeals entered an Order dismissing the appeal on the ground that an Order granting class certification is interlocutory and non-appealable. On or about May 7, 1998, Green Tree filed a Petition for Rehearing. On June 12, 1998, the Court of Appeals denied Green Tree's Motion for Reconsideration.

On June 24, 1998, Green Tree filed a Petition for Writ of Certiorari. On February 9, 1999, the South Carolina Supreme Court dismissed Green Tree's Petition for Writ of Certiorari and remitted the case to the Clerk of Court for Dorchester County.

On February 24, 1999, the Bazzles filed a Motion to Compel Appointment of Arbitrator. On or about May 6, 1999 Green Tree filed a Motion to Dismiss. The grounds for the Motion to Dismiss were the filing of foreclosure proceedings against the Bazzles by their first mortgage holder and the filing for relief by the Bazzles under Chapter 13 of the United States Bankruptcy Code. On May 20, 1999, the Plaintiffs filed opposition to the Motion to Dismiss. On May 20, 1999, a hearing was held for the purposes of hearing the Bazzles' Motion to Compel the Appointment of an Arbitrator and Green Tree's Motion to Dismiss. On June 2, 1999, the Order Appointing the Honorable Thomas J. Ervin Arbitrator was filed with the Dorchester Clerk of Court. (Judge Ervin had previously been appointed to act as Arbitrator in the related case of *Lackey v. Green Tree Corporation*, Civil Action Number 96-CP-06-073.).

On January 26, 2000, pre-trial conference was held in the *Lackey* case. At the pre-trial conference Green Tree requested that all home improvement transactions included with the *Lackey* case be removed and consolidated with the within action. The Arbitrator granted Green Tree's request.

On or about March 16, 2000, Green Tree resubmitted its Motion to Dismiss to the Arbitrator due to the Bazzles filing for bankruptcy. On March 23, 2000, a hearing was held at which time the Motion to Dismiss was denied. Green Tree also argued at the time of the hearing that the causes of action in the Complaint should be limited to those relating to violations of the South Carolina Protection Code and that Patton General Contracting should be removed as a Defendant. At Green Tree's insistence, a Bifurcated Second Amended Complaint in Arbitration against Green Tree alone, including class action allegations, was served on March 27, 2000.

The Second Amended Complaint sets forth two causes of action: (1) violation of the South Carolina attorney/insurance preference statute, §37-10-102 *et. seq.*; and (2) unconscionable conduct in violation of §37-10-105. On April 11, 2000, Green Tree filed its Answer.

On May 31, 2000, a hearing was held before the Arbitrator on all home improvement transactions, including the *Lackey* home improvement transactions. The entire *Lackey* trial record was made part of the record in this matter. On July 24, 2000, the Arbitrator executed a written Award providing as follows:

> Based upon carefull review of the materials, cases, affidavits and testimony presented by counsel for the Plaintiffs and by Green Tree, and applying the relevant precedential authority to the facts and record before me in this case, I have concluded that Green Tree's behavior in this matter was wilful, reckless, wanton and egregious, and therefore, awarded Plaintiffs the sum of $10,935,000.00. I also find the Plaintiffs should be reimbursed and awarded certain reasonable costs associated with the prosecution of this case in the amount of $18,252.00, which is one half of $36,504.00.

I further conclude that a reasonable attorney's fee of $3,645,500.00 should be awarded to members of the Plaintiffs' class.

STANDARD OF REVIEW

Plaintiffs' Motion to Confirm should be granted since Green Tree has failed to comply with the strict standards applicable to its Motion to Vacate. In order to prevail in its motion to vacate the arbitration award in this case, Green Tree must bear an extraordinary burden.

* * * *

1. THE ARBITRATOR DID NOT MANIFESTLY DISREGARD THE LAW.

In order for the Arbitrator to have manifestly disregarded the law, he must have been conscious of the law and deliberately ignored it. *Brown v. ITT Consumer Financial Corp.*, Op. No. 99-10506 (11th Cir., May 5, 2000), citing *Montes v. Shearson Lehman Bros., Inc.*, 128 F.3d 1456 (11th Cir. 1997). Defendants bear the burden of asserting sufficient grounds to vacate the award. *Id.*

The Defendants have failed to meet their burden. Defendants do not assert that any decision made by Judge Ervin was an *intentional* error or a *conscious decision* not to follow the appropriate legal standard. (emphasis added). Defendants have not asserted that Judge Ervin understood and correctly stated the law, but proceed to disregard the same. At best Defendant's grounds are an assertion that the Arbitrator did not follow the reason they offered and argued. A review of the Arbitrator's Order illustrates that the Arbitrator's decision was well reasoned and based on applicable law and the facts of the case. Thus each of Defendants asserted particulars based on a theory of manifest disregard of the law fail because they do not set forth a sufficient basis to support a theory of manifest disregard of the law. See

Upshur Coals Corp. v. United Mine Workers, 933 F.2d 225, 229 (4th Cir. 1991). This Court does not have the authority review the Arbitrator's decision and vacate the decision to impose its beliefs. The motion to vacate for the reasons asserted by Defendants must be denied.

2. GREEN TREE INCORRECTLY IMPLIES THAT THE ARBITRATOR DETERMINED THE MATTER COULD PROCEED AS A CLASS ACTION.

The first numbered particular set forth by the Defendants reads as follows: "The Arbitrator did not have authority to determine whether this case could proceed as a class action in arbitration. Decisions concerning the scope of the arbitration cause are for the Court and not the arbitrator."

As this Court will recall this Court determined in this matter that the matter could proceed as a class action. The determination was not initially made by the Arbitrator. The Arbitrator received [Page 8] the case as a class action. Thus, this argument made by the Defendants is inappropriate here.

Furthermore, the Court will recall that when the initial determination was made, the Defendants sought reconsideration of the issue and appealed the decision. The decision by this Court is therefore the law of the case at this posture and cannot be reviewed by this Court. *Lifschultz Fast Freight, Inc. v. Haynsworth, Marion, McKay and Guerard*, __ S.C. __, 513 S.E.2d 96 (1999). If any review of this issue is appropriate, it is for the appellate courts.[2]

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[2] To ensure that the Plaintiffs' position is clear, they do not agree with the Defendants position that the determination of whether the case could proceed as a class action could not be made by the Arbitrator. Plaintiffs believe that based on the language of the subject arbitration clause, the facts surrounding the matter and certain legal authority, the Arbitrator did have the right to determine if the case could proceed as a class action. Based on the posture in which the Arbitrator received this case, this issue

3. THE ARBITRATOR'S AWARD CANNOT BE VACATED FOR AN ALLEGED VIOLATION OF DUE PROCESS.

The third group of particulars, numbers 8, and 12 do not specify a recognized basis for vacating an award under §10 of the Federal Arbitration Act. Particular numbers 8 and 9 read respectively:

> The amount of the Arbitrator's award constitutes the imposition of an excessive fine in violation of the Due Process provisions of both the South Carolina and United States Constitution.
>
> and,
>
> The Arbitrator's award violates the Due Process clause of the Fourteenth Amendment of the United States Constitution.

Defendants generically claim a due process violation but the genesis for the claim is unclear. Notwithstanding, such an argument has been rejected by the Fourth Circuit. See, *Gallus Investments, L.P. v. Pudgie's Famous Chicken, Ltd.*, 134 F.3d 231 (4th Cir. 1998). In *Gallus* the moving party to

* * * *

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should not be addressed here. Furthermore, to the extent that Judge Ervin made such a decision, if any, in this case or the *Lackey* case, it was a reaffirmation and/or adoption of this Court's prior determination. Finally, it must be noted that the decision of the Arbitrator in *Lackey* that it could appropriately proceed as a class action was affirmed by Judge Clarey in the case of *Green Tree Financial Services, Inc. v. Lackey*, Civil Action 98-CP-06-278, brought by Green Tree in Barnwell County to enjoin the arbitrator from proceeding as class action.

HI-RIC

GT-15-41-010 (11/92)

RETAIL INSTALLMENT CONTRACT AND SECURITY AGREEMENT

No.
Date May 20, 1995

Appl # 1638736

Buyer
Burt A Bazzle
Lynn W Bazzle
367 Pinehurst Ave

Summerville, SC 29483

"You" and "your" means each Buyer above and guarantor, jointly and severally.

Seller
FALTON GENERAL CONTRACTING
(MASTER ACCOUNT)
121 CENTRUM DR STE 13
LMD, SC 29063

"We" and "us" means the Seller above, its successors and assigns.

SALE. You agree to purchase the property (and/or services) described below according to the following terms, including those on the reverse side.

You agree to pay us the principal sum of FIFTEEN THOUSAND ONE HUNDRED THIRTY SIX AND 80/100 dollars ($ 15136.80) plus interest from the disbursement date at the rate of 12.75 % per year until paid in full. You will pay the total amount due in 180 installments of $ 199.95, each, beginning SEE BELOW, 19 and continuing on the same day of each Month thereafter until paid in full.

If your first payment date is more than thirty days from the date of consummation, you agree that any accrued interest (which will not be paid with your first payment) will be added to your principal balance as a deferred charge and that interest shall be calculated upon such deferred charge at the contract rate over the loan term.

PREPAYMENT: You may prepay this contract in full at any time.

LATE CHARGE: You agree to pay a late charge when an installment is not paid within days after it is due. This charge will be % of the unpaid portion of the installment or $ N/A, whichever is less. However, this charge will not be less than $ N/A.

You also agree that we may change these amounts pursuant to 9637.2.203 and 37-1-108 of the South Carolina Consumer Protection Code so as to always be the maximum amounts allowed by law.

DESCRIPTION OF GOODS AND/OR SERVICES AND SECURITY AGREEMENT - Here is a description of the goods and/or services you are purchasing. To secure the payment of this contract, you give us a security interest in the goods plus all accessions, attachments, accessories and replacement, plus all proceeds, except items 1 and 2 of these. You also agree to give us a separate mortgage (or deed of trust) on the real property described below.

INSTALLATION OF:	DESCRIPTION OF GOODS/SERVICES	ITEM NUMBER:
	Windows	
	Soffit, Fascia	

REAL PROPERTY ADDRESS:

367 Pinehurst Ave Summerville SC 29483

WARRANTIES: WARRANTY INFORMATION IS SUPPLIED TO YOU SEPARATELY.

LOCATION: The goods and services installed will be located at the real property address listed above.

You will furnish to us, at our request, a disclosure signed by all persons having an interest in the above described real estate of any right, title or interest in or lien upon that property prior to the security interest created by this contract.

ANNUAL PERCENTAGE RATE The cost of your credit as a yearly rate.	FINANCE CHARGE The dollar amount the credit will cost you.	AMOUNT FINANCED The amount of credit provided to you or on your behalf.	TOTAL OF PAYMENTS The amount you will have paid when you have made all scheduled payments.	TOTAL SALE PRICE The total cost of your purchase on credit, including your down payment of $ .00
13.93 %	$ 24829.00	$ 15000.00	$ 35829.00	$ 35829.00

Your Payment Schedule will be:	Number of Payments	Amount of Payments	When Payments Are Due
	180	$ 199.05	Monthly Beginning Approximately 30 Days From Disbursement Date, 19

Security: You are giving a security interest in: (Brief description of other property)
- [X] the goods or property being purchased.
- [ ] the real property where the improvements are made.

Late Charge: You will be charged a late charge when an installment is not paid within days after it is due. This charge will be % of the unpaid portion of the installment, or $ N/A, whichever is less. However, this charge will not be less than $ N/A.

These amounts may change pursuant to 9637.2.203 and 37-1-108 of the South Carolina Consumer Protection Code.

Prepayment: If you pay off this contract early, you may [ ] will not have to pay a penalty. Filing fees $ 25.00

You may see your contract documents for any additional information about nonpayment, default, any required repayment before the scheduled date, and prepayment refunds and penalties. "I" means any guarantor.

CREDIT INSURANCE

CREDIT LIFE INSURANCE AND CREDIT DISABILITY INSURANCE ARE NOT REQUIRED TO OBTAIN CREDIT, AND WILL NOT BE PROVIDED UNLESS YOU SIGN AND AGREE TO PAY THE ADDITIONAL COSTS.

Type	Premium	Term
Credit Life	.00	0
Credit Disability	.00	0
Joint Credit Life	.00	0

You [ ] do [X] do not want credit life insurance.
X N/A

You [ ] do [X] do not want credit disability insurance.
X N/A

You [ ] do [X] do not want joint credit life insurance.
X N/A
XX N/A

PROPERTY INSURANCE

You may obtain property insurance from anyone that is acceptable to us. If you get the insurance from or through us you will pay $ .00 for NONE of coverage.

The property insurance premium is calculated as follows:

Fire Theft and Combined Add'l. Coverage	$ .00
	$ .00
	$ .00
	$ .00

The above insurance does not include liability insurance coverage for bodily injury and property damage unless such insurance is specifically described above.

ASSIGNMENT

Seller assigns this contract on , 19 to GREEN TREE FINANCIAL CORP. in accordance with the Seller's Assignment Agreement on the reverse side. The assignment is [ ] Without Recourse [ ] With Recourse [ ] Subject to a Separate Agreement.

X (Seller)
By Title

ITEMIZATION OF AMOUNT FINANCED

1. Cash Price (including Sales Tax)	$	15000.00
2. Cash Down Payment	$	.00
3. Unpaid Balance of Cash Price (1 minus 2)	$	15000.00
4. Other Charges:		
(a) To Insurance Companies	$	.00
(b) To Public Officials	$	25.00
(c) To Inspector	$	25.00
(d) To Appraiser	$	.00
(e) Property Report	$	90.00
(f) Processing Fee	$	.00
(g)	$	
(h) Discount Points	$	
(i) To Green Tree	$	.00
(j)	$	
(k)	$	
(l)	$	
5. Subtotal (3 plus 4(a) through 4(l))	$	15025.00
6. Prepaid Finance Charges:		
(a) Prepaid Fees	$	136.20
(b)	$	
(c)	$	
7. Amount Financed (5 minus 6(a) through 6(c))	$	15000.00

NOTICE TO BUYER: (1) Do not sign this contract before you read it or if it contains any blank spaces. (2) You are entitled to an exact copy of the contract you sign. (3) Under the law you have the right, among others, to pay in advance the full amount due, and to obtain under certain conditions a partial refund of the finance charge. (4) This contract shall become effective only when signed and executed by the buyer and seller, and shall apply to and inure to the benefit of and bind the heirs, executors, administrators, successors and assigns of both parties to this contract.

BUYER ACKNOWLEDGES RECEIPT OF A COPY OF THIS RETAIL INSTALLMENT CONTRACT

1. Signed X Burt A Bazzle Buyer
2. Signed X Lynn W Bazzle Buyer

YOU ALSO AGREE TO THE TERMS ON THE REVERSE SIDE OF THIS CONTRACT.

Signed X For Seller
Title

White First Copy-Lender Green Second Copy-Regional Office Canary Third Copy-Buyer Pink Fourth Copy-Seller Goldenrod Fifth Copy-Extra

GT-15-41-010 (11/92)

EXHIBIT
A

BEST AVAILABLE COPY

ADDITIONAL TERMS OF THE CONTRACT AND SECURITY AGREEMENT

GENERAL TERMS - As used in this document, "contract" means, the terms of the security agreement. You have been given an opportunity to purchase the property and/or services for the total sale price, which is the total price of the property and/or services if you buy it over time. The total sale price disclosed in the statement has the total sale price based on the terms as of the date and the assumption that all payments will be made as scheduled. The actual total sale price may be more or less than the amount disclosed depending on your payment record. You agree to buy the property and/or services appearing at the actual total sale price according to the terms of this contract.

You agree this contract will be governed by the Law of the State of South Carolina, including the Uniform Commercial Code, if applicable. You agree that this and any other written agreement pertaining to this sale contains all of the terms and provisions of your agreement with us and that we have not made any oral warranties or promises regarding the secured property. This contract takes effect when signed by you.

Any term of this contract which does not comply with applicable Law will not be effective if that Law does not expressly or explicitly permit variations by agreement. If any part of this contract or security agreement cannot be enforced according to its terms, this fact will not affect the balance of the contract and security agreement.

You agree to pay us all allowable charges for the return by a depository institution of a dishonored check or other negotiable instrument to the full extent permitted by applicable law.

You agree to cooperate with us regarding any requests after closing to correct errors made concerning this contract or the transaction and to provide any and all additional documentation deemed necessary by us to complete this transaction. You agree that we may enforce this agreement by judicial process and are entitled to attorney's fees, costs and disbursements incident to such enforcement.

INTEREST - Interest accrues on the unpaid balance of your purchase remaining from time to time, until paid in full. Each payment will be first applied to accrued interest up to the time the payment is actually made, then to principal. The actual amount of your total payment may be more or less than the amount scheduled, depending on your payment record.

OWNERSHIP AND DUTIES TOWARD PROPERTY - By giving us this security interest, you represent and agree:

(a) you will defend this property against any claim made by anyone else, and will do whatever is necessary to preserve our status in the property;

(b) you have signed or immediately will sign any additional documents or provide us with any additional information we may require to perfect and preserve our priority in this property. You will not hesitate do anything to defend our position;

(c) you will keep the property in your possession in good condition and repair, and use it only for the lawful purposes for which it was intended. Unless otherwise agreed in writing, the property will be installed at the address listed on the front side of this form;

(d) you will not attempt to sell the property or otherwise transfer any rights in this property to anyone else;

(e) you will pay all taxes and assessments on the property as they become due;

(f) you will provide us reasonable access to the property for the purpose of inspection, and notify us of any loss or damage; and

(g) we may pay taxes, assessments, or other liens or make repairs to the property if you have not done so. We are not required to do so, however, if we do, the amount we pay will be added to the secured obligations, will be immediately due, and will accrue interest at the rate in effect from time to time, until paid in full.

DEFAULT - You will be in default on this contract if any one or more of the following occurs (except as prohibited by law):

(a) you fail to make a payment as required by this agreement;

(b) the occurrence of payment, performance or realization on collateral is unsatisfactorily explained; or

(c) you default under the terms of the mortgage or deed of trust which secures this contract.

If an event of default occurs as to any one of you, we may exercise our remedies against any or all of you.

REMEDIES - If you are in default on this contract for 10 or more days because of a failure to make a required payment we must provide you with a written notice of your default and right to cure. You have 30 days after we mail or personally deliver this notice to you in which to cure the default. We may exercise our remedies after such a default only if you fail to cure the default within such time period.

However, no notice of default and right to cure is necessary and we may immediately exercise our remedies if you have defaulted prior before on this contract and have been given a notice of default and right to cure with respect to such default. This last paragraph does not apply if your contract is governed solely by specialized.

Except as otherwise limited above, if you are in default on this contract, we have all of the remedies provided by law and this contract. We may, after notice as required by law:

(a) accelerate the due date of the contract, making all unpaid principal, accrued interest, and all other agreed charges due;

(b) require you to assemble the property and make it available to us at a place we designate that is reasonably convenient to you and us;

(c) after notice as required by law, repossess the property. We may then sell the property and apply the proceeds as provided by law to our expenses and then toward your secured obligations. Expenses include our cost of repossession, cost of holding the property, attorneys' fees (where permitted), repairs (if necessary) and costs of sale; and

(d) be entitled to a deficiency judgment against you if the proceeds of the sale do not pay all of the expenses and secured obligations (except where prohibited by law).

By choosing any one or more of these remedies, we do not waive our right to later use any other remedy. We do not waive a default if we choose not to use any remedy and, by electing not to use any remedy, we do not waive our right to later consider the event a default and to immediately use any remedies if it continues or occurs again.

You agree that if any notice is required to be provided to you of the intended sale or disposition of the property, this notice will be considered reasonable if provided by mail addressed to you at the address listed on the front side of this contract, and mailed to you at least 10 days before the date of the intended disposition (or such other period of time as is required by law).

OBLIGATIONS INDEPENDENT - Each buyer or guarantor who signs this contract agrees jointly and severally to pay it according to its terms. This means that:

(a) you must pay this contract even if someone else has signed it;

(b) we may release any co-buyer or guarantor and you will still be obligated to pay the contract;

(c) we may release any security and you will still be obligated to pay the contract;

(d) waivers by us of any of our rights will not affect your duty to pay this contract; and

(e) extending new credit or renewing this contract will not affect your duty to pay this contract.

ARBITRATION - All disputes, claims, or controversies arising from or relating to this contract or the relationships which result from this contract, or the validity of this arbitration clause or the entire contract, shall be resolved by binding arbitration by one arbitrator selected by us with consent of you. This arbitration contract is made pursuant to a transaction in interstate commerce, and shall be governed by the Federal Arbitration Act at 9 U.S.C. Section 1. Judgment upon the award rendered may be entered in any court having jurisdiction. The parties agree and understand that they choose arbitration instead of litigation to resolve disputes. The parties understand that they have a right or opportunity to litigate disputes through a court, but that they prefer to resolve their disputes through arbitration, except as provided herein. **THE PARTIES VOLUNTARILY AND KNOWINGLY WAIVE ANY RIGHT THEY HAVE TO A JURY TRIAL, EITHER PURSUANT TO ARBITRATION UNDER THIS CLAUSE OR PURSUANT TO A COURT ACTION BY US (AS PROVIDED HEREIN).** The parties agree and understand that all disputes arising under case Law, statutory law, and all other laws including, but not limited to, all contract, tort, and property disputes, will be subject to binding arbitration in accord with this contract. The parties agree and understand that the arbitrator shall have all powers provided by the law and the contract. These powers shall include all legal and equitable remedies, including, but not limited to, money damages, declaratory relief, and injunctive relief. Notwithstanding anything hereunder to the contrary, we retain an option to use judicial or non-judicial relief to enforce a security agreement relating to the real property sold in a transaction underlying this arbitration agreement, or to enforce the monetary obligations secured by the real property, or to foreclose on the real property. Such judicial relief would take the form of a lawsuit. The exercise and maintenance of an action for judicial relief in a court to foreclose upon any collateral, to obtain a monetary judgment or to enforce the mortgage or deed of trust, shall not constitute a waiver of the right of any party to compel arbitration regarding any other dispute or remedy subject to arbitration in this contract, including the filing of a counterclaim in a suit brought by us pursuant to this provision.

Form 5311.30 05 SC 05/93

NOTICE: ANY HOLDER OF THIS CONSUMER CREDIT CONTRACT IS SUBJECT TO ALL CLAIMS AND DEFENSES WHICH THE DEBTOR COULD ASSERT AGAINST THE SELLER OF GOODS OR SERVICES OBTAINED PURSUANT HERETO OR WITH THE PROCEEDS HEREOF. RECOVERY HEREUNDER BY THE DEBTOR SHALL NOT EXCEED AMOUNTS PAID BY THE DEBTOR HEREUNDER.

INSURANCE - You agree to purchase insurance on the secured property against such risks and in such amounts as we may reasonably require. In addition, you agree as follows:

(a) you will arrange for us to be named mortgagee or beneficiary under a standard loss payable clause on any such policy so that any benefits arising from the insured risks will first be paid to us for application toward the secured obligations;

(b) you agree that we may, in the event of a loss, require additional security or assurances of payment of the secured obligations as a condition of permitting any insurance benefits to be used for repair or replacement of the property;

(c) you agree to purchase insurance from a company that is authorized to do business in South Carolina and that is reasonably acceptable to us;

(d) you will maintain this insurance until all the secured obligations are paid in full; and

(e) if you fail to obtain or maintain this insurance, or you fail to arrange for us to be named as mortgagee or beneficiary under a standard loss payable clause, we may (but in no event are required to) purchase such insurance which will secure only our interest in the property. The amount we pay for such insurance will be added to the secured obligations, will be immediately due and will earn interest at the rate in effect from time to time, until paid in full.

WAIVER - You waive (to the extent permitted by law) demand, presentment, notice of acceleration, notice of intention to accelerate, protest, notice of dishonor and notice of protest.

COSTS OF COLLECTION AND ATTORNEYS' FEES - You agree to pay the reasonable attorneys' fees we incur (not in excess of 15% of the unpaid debt) if we hire an attorney to collect this contract in the event of your default, plus any other costs we incur to realize upon any security.

GUARANTEE - You guarantee the payment of this contract. You also agree that all the other terms of the contract will apply to you.

NAME .....

X .....

THIRD PARTY AGREEMENT

By signing within this enclosure, you agree to give us a security interest in and lien on the property that is described on the front side. You agree to be bound by the terms of this contract and security agreement and, regardless of any provision to the contrary contained herein, not to be liable for any payments it requires. You agree that we may, without releasing you or the property from this Third Party Agreement and without notice or demand upon you, renew, extend or change any term of this contract and security agreement, or take or release other security (including guarantees) for the obligations of any buyer.

You acknowledge receipt of a completed copy of this contract and security agreement.

Date: ..... 19 .....

X .....

Name .....

ASSIGNMENT BY SELLER

Seller sells and assigns to assignee (whose name is printed on the face of this contract) its successors and assigns, all its rights, title and interest in the retail installment contract, and any guarantee executed in connection with this contract. Seller gives assignee full power, either in its own name or as Seller's name, to take all legal or other actions which Seller could have taken under this contract.

Seller warrants:

(a) this contract represents a sale by seller to buyer on a time price basis and not on a cash basis;

(b) that all of the terms of this contract are set forth on this document;

(c) the statements contained in this contract are true and correct;

(d) the down payment was made by the buyer in the manner stated on the face of this contract and no part of the down payment was loaned or paid to the buyer by seller or seller's representatives;

(e) the sale was completed in accordance with all laws and regulations affecting this sale, including, but not limited to, the Federal Truth-in-Lending Act, the Magnuson-Moss Warranty-Federal Trade Commission Improvement Act, Federal Equal Credit Opportunity Act, the Federal Trade Commission Act, and any regulations pertaining to these Laws;

(f) that all disclosures made in this contract under federal and state laws have been properly made under those laws;

(g) the buyer was not a minor and had the capacity to enter into this contract;

(h) this contract is valid and enforceable in accordance with its terms;

(i) the names and signatures on this contract are not forged, fictitious or assumed, and are true and correct;

(j) this contract is not subject to any claims or defenses on the part of the buyer;

(k) a completely filled-in copy of this contract was delivered to the buyer at the time of execution;

(l) the property has been delivered to the buyer in good condition and/or the services have been performed, and have been accepted by the buyer;

(m) that we have full and perfect title to and right to convey this contract free of any encumbrances, lien or interest of third parties of any nature whatsoever;

(n) the buyers under the contract have no rights to rescind the contract or if such rights existed that due and proper notice of the existence of such rights was given and such rights were not exercised;

(o) all construction work has been paid for and there are no mechanics liens filed or to be filed on the property; and

(p) there have been no material changes in the buyer's income, indebtedness or employment and no other material changes between loan approval and funding. This is a condition to assignee funding the contract.

If any of these warranties is breached or untrue, seller will, upon assignee's demand, purchase this contract from assignee. The purchase shall be in cash in the amount of the unpaid balance (including interest) plus the cost and expenses of assignee, including attorney's fees.

Seller will indemnify assignee for any loss sustained by it because of political set-off or as the result of a recovery made against assignee as a result of a claim or defense buyer has against seller.

Seller waives notice of the acceptance of this assignment, notice of non-payment or non-performance and notice of any other remedies available to assignee.

Assignee may, without notice to seller, and without affecting the liability of seller under this assignment, compromise or arbitrate any rights against, and grant extensions of time for payment to be made, to buyer and any other person obligated under this contract.

1. **WITHOUT RECOURSE** This assignment shall be without recourse, except as stated above.

2. **WITH RECOURSE** In addition to those items stated above, seller agrees that if buyer defaults in full payment, when due, of any amounts payable under this contract, or in the prompt performance of any obligation to be performed by buyer under this assignment, seller will, upon demand, repurchase this contract from assignee in cash in the amount of the unpaid balance (including interest) due at that time.

3. **SEPARATE AGREEMENT** - This assignment is subject to a separate agreement with the assignee.

Hi-RIC GT-15-41-010 (11/92)

RETAIL INSTALLMENT CONTRACT AND SECURITY AGREEMENT

No. 1564498

Date May 12, 1994

Buyer: Daniel B Lackey
33 Berry
Barnwell , SC 29812
"You" and "your" means each Buyer above and guarantor, jointly and severally.

Seller: ALLSTATE HOME SERVICE, INC.
113 AIRPORT PARK DR
SAVANNAH , GA 31408
"We" and "us" means the Seller above, its successors and assigns.

SALE: You agree to purchase the property (and/or services) described below according to the following terms, including those on the reverse side.

You agree to pay us the principal sum of SEVEN THOUSAND FIVE HUNDRED AND NO/100 dollars ($ 7500.00). You also agree to pay interest from the disbursement date at the rate of 15.99% per year until paid in full. You will pay the total amount due in 048 installments of $ 204.91 each, beginning SEE BELOW, 19 . and continuing on the same day of each Month thereafter until paid in full.

If your first payment date is more than thirty days from the date of completion, you agree that any accrued interest (which will not be paid with your first payment) will be added to your principal balance as a deferred charge and that interest shall be calculated upon such deferred charge at the contract rate over the loan terms. N/A

PREPAYMENT: You may prepay this contract in full at any time.

LATE CHARGE: You agree to pay a late charge when an installment is not paid within ___ days after it is due. This charge will be ___% of the unpaid portion of the installment or $ N/A, whichever is less. However, this charge will not be less than $ ___. You also agree that we may charge those amounts pursuant to §37-2-703 and 37-1-108 of the South Carolina Consumer Protection Code so as to always be the maximum amounts allowed by law.

DESCRIPTION OF GOODS AND/OR SERVICES AND SECURITY AGREEMENT - Here is a description of the goods and/or services you are purchasing. To secure the payment of this contract, you give us a security interest in the goods plus all accessions, attachments, accessories and replacement, plus all proceeds arising from all of these. You also agree to give us a separate mortgage (or deed of trust) on the real property described below.

JOB NUMBER:

INSTALLATION OF:	DESCRIPTION OF GOODS/SERVICES
Windows	
Rev doors	

REAL PROPERTY ADDRESS: 33 Berry Barnwell SC 29812

WARRANTIES: WARRANTY INFORMATION IS SUPPLIED TO YOU SEPARATELY.

LOCATION: The goods and services installed will be located at the real property address listed above.

You will furnish to us at our request, a disclaimer signed by all persons having an interest in the above described real estate of any right, title or interest in or lien upon this property prior to the security interest created by this contract.

ANNUAL PERCENTAGE RATE The cost of your credit as a yearly rate.	FINANCE CHARGE The dollar amount the credit will cost you.	AMOUNT FINANCED The amount of credit provided to you or on your behalf.	TOTAL OF PAYMENTS The amount you will have paid when you have made all scheduled payments.	TOTAL SALE PRICE The total cost of your purchase on credit, including your down payment of $ 9835.68 .00
13.99 %	$ 2335.68	$ 7500.00	$ 9835.68	

Your Payment Schedule will be:	Number of Payments	Amount of Payments	When Payments Are Due
	048	$ 204.91	Monthly Beginning Approximately 30 Days From Disbursement Date (e)

Security: You are giving a security interest in: ___ [brief description of other property] _____
X the goods or property being purchased.
X the real property where the improvements are made.

Late Charge: You will be charged a late charge when an installment is not paid within ___ days after it is due. This charge will be N/A % of the unpaid portion of the installment, or $ N/A, whichever is less. However, this charge will not be less than $ ___.

These amounts may change pursuant to §37-2-703 and 37-1-108 of the South Carolina Consumer Protection Code. .00

Prepayment: If you pay off this contract early, you ___ may ___ X will not have to pay a penalty. Filing fees $ ___

You can see your contract documents for any additional information about nonpayment, default, any required repayment before the scheduled date, and prepayment refunds and penalties. "e" means an estimate.

CREDIT INSURANCE

CREDIT LIFE INSURANCE AND CREDIT DISABILITY INSURANCE ARE NOT REQUIRED TO OBTAIN CREDIT, AND WILL NOT BE PROVIDED UNLESS YOU SIGN AND AGREE TO PAY THE ADDITIONAL COSTS.

Type	Premium	Term
Credit Life	.00	0
Credit Disability	.00	0
Joint Credit Life	.00	000

You ___ do ___ do not want credit life insurance.
X N/A

You ___ do ___ do not want credit disability insurance.
X N/A

You ___ do ___ do not want joint credit life insurance.
X N/A
XX N/A

PROPERTY INSURANCE

You may obtain property insurance from anyone that is acceptable to us. If you get the insurance from or through us you will pay $ .00 for 00 YEARS of coverage.

The property insurance premium is calculated as follows:

___ Fire-Theft and Combined Addl. Coverage	$ .00
	$ .00
	$ .00
	$ .00

The above insurance does not include liability insurance coverage for bodily injury and property damage unless such insurance is specifically described above.

ASSIGNMENT

Seller assigns this contract on May 12, 19 94 to CREDIT TYKE FINANCIAL CORP. in accordance with the Seller's Assignment appearing on the reverse side. The assignment is 1. ___ Without Recourse 2. ___ With Recourse 3. XX subject to a Separate Agreement.

X ALLSTATE HOME SERVICE, INC. (Seller)
By [signature] Title Finance

ITEMIZATION OF AMOUNT FINANCED 7500.00

1. Cash Price (including Sales Tax)	$	.00
2. Cash Down Payment	$	7500.00
3. Unpaid Balance of Cash Price (1 minus 2)	$	
4. Other Charges:		.00
(a) To Insurance Companies	$	.00
(b) To Public Officials: To Inspector	$	.00
(c) To Applicant	$	.00
(d) Property Report	$	
(e) Processing Fee	$	.00
(f) to Green 1268	$	
(g) Discount Points	$	.00
(h) to Green 1268	$	
(i)	$	
(j)	$	
(k)	$	
(l)	$	
5. Subtotal (3 plus 4(a) through 4(l))	$	7500.00
6. Prepaid Finance Charges:		.00
(a) Prepaid Fees	$	
(b)	$	
(c)	$	7500.00
7. Amount Financed (5 minus 6(a) through 6(c))	$	

NOTICE TO BUYER: (1) Do not sign this contract before you read it or if it contains any blank spaces. (2) You are entitled to an exact copy of the contract you sign. (3) Under the law you have the right, among others, to pay in advance the full amount due, and to obtain under certain conditions a partial refund of the finance charge. (4) This contract shall become effective only when signed and executed by the buyer and seller, and shall apply to and inure to the benefit of and bind the heirs, executors, administrators, successors and assigns of both parties to this contract.

BUYER ACKNOWLEDGES RECEIPT OF A COPY OF THIS RETAIL INSTALLMENT CONTRACT

1. Signed X Daniel B Lackey Buyer
Daniel B Lackey
2. Signed X ___ Buyer

YOU ALSO AGREE TO THE TERMS ON THE REVERSE SIDE OF THIS CONTRACT

Signed X [signature] For Seller
Title

White First Copy-Lender Green Second Copy-Regional Office Canary Third Copy-Buyer Pink Fourth Copy-Seller Goldenrod Fifth Copy-Extra

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ADDITIONAL TERMS OF THE CONTRACT AND SECURITY AGREEMENT

GENERAL TERMS - As used in this document, "contract" includes the terms of the security agreement. You have been given an opportunity to purchase the property and/or services on the front side for the cash price or the total sale price, which is the total price of the property and/or services if you buy it over time. The total sale price disclosed in the contract box on the front side is based on the terms in effect today and the assumption that all payments will be made as scheduled. The actual total sale price may be more or less than the amount disclosed depending on your payment record. You agree to buy the property and/or services from us at the actual total sale price according to the terms of this contract.

You agree this contract will be governed by the law of the State of South Carolina, including the Uniform Commercial Code, if applicable. You agree that this and any other written agreement pertaining to this sale contain all of the terms agreed to by you and us and that we have not relied on any oral statements or promises regarding the secured property. This contract takes effect when signed by you.

Any term of this contract which does not comply with applicable law will not be effective if that law does not expressly or impliedly permit variations by agreement. If any part of this contract or security agreement cannot be enforced according to its terms, this fact will not affect the balance of the contract and security agreement.

You agree to pay us all allowable charges for the return by a depositary institution of a dishonored check or other negotiable instrument to the full extent provided by application law.

You agree to cooperate with us regarding any concerns after closing to correct errors made concerning this contract or the transaction and to provide any and all additional documentation deemed necessary by us to completing this transaction. You agree that we may disburse this agreement by judicial process and are entitled to attorney's fees, costs and disbursements incident to such endorsement.

INTEREST - Interest accrues on the unpaid balances of principal disclosed from time to time, until paid in full. Each payment will be first applied to interest accrued up to the time the payment is actually made, then to principal. The actual amount of your final payment may be more or less than the amount scheduled, depending on your payment record.

OWNERSHIP AND DUTIES TOWARD PROPERTY - By giving us this security interest, you represent and agree:

(a) you will defend the property against any claim made by anyone else, and will do whatever is necessary to preserve our rights in the property;

(b) you have signed or immediately will sign any additional documents or provide us with any additional information we may require to perfect and preserve our priority in this property. You will not hereafter do anything to defeat our position;

(c) you will keep the property in your possession in good condition and repair, and use it only for the lawful purposes for which it was designed. Unless otherwise agreed to in writing, the property will be installed at the address listed on the front side of this form;

(d) you will not attempt to sell the property or otherwise transfer any rights in this property to anyone else;

(e) you will pay all taxes and assessments on the property as they become due;

(f) you will provide us reasonable access to the property for the purpose of inspection, and notify us of any loss or damage; and

(g) we may pay taxes, assessments, or other liens or make repairs to the property if you have not done so. We are not required to do so, however. If we do, the amount we pay will be added to the secured obligations, will be immediately due, and will accrue interest at the rate in effect from time to time, until paid in full.

DEFAULT - You will be in default on this contract if any one or more of the following occurs (except as prohibited by law):

(a) you fail to make a payment as required by this agreement;

(b) the occurrence of payment, performance or realization on collateral is unsatisfactorily threatened; or

(c) you default under the terms of the mortgage or deed of trust which secures this contract.

If an event of default occurs as to any one of you, we may exercise our remedies against any or all of you.

REMEDIES - If you are in default on this contract for 10 or more days because of a failure to make a required payment we could possibly notify you in writing before we exercise our default and right to cure. You have 10 days after we mail or personally deliver this notice to you to cure the default. We may exercise our remedies after such a default only if you fail to cure the default within such time period.

However, no notice of default and right to cure is necessary and we may immediately exercise our remedies if you have defaulted more than twice on this contract and have been given a notice of default and right to cure with respect to each default. This last paragraph does not apply if your contract is governed by federal or state law.

Except as otherwise limited above, if you are in default on this contract, we have all of the remedies provided by law and this contract. We may, after notice as required by law,

(a) accelerate the due date of the contract, making all unpaid principal, accrued interest, and all other agreed charges due;

(b) require you to assemble the property and make it available to us at a place we designate that is reasonably convenient to you and us;

(c) take possession of the property, peaceably or as provided by law, to the extent we may do so without breaching the peace, and dispose of the property by sale or otherwise, and apply the proceeds as provided by law to our expenses and then toward your secured obligations. Expenses include our cost of repossessing, repairing, preparing for disposition, and disposing of the property, attorneys' fees (where permitted), court costs (if necessary) and costs of title; and

(d) by contract or judgment, obtain judgment against you for the amounts of the sale price not yet paid and other secured obligations (unless prohibited by law).

By choosing any one or more of these remedies, we do not waive our right to take any other remedy which we may have. If we choose not to use any remedy, by choosing not to use any remedy, we do not waive our right to later consider the event a default and to immediately use any remedies if it continues or occurs again.

You agree that if any notice is required as to the proposed sale or disposition of the property, that notice will be commercially reasonable if provided by mail addressed to you at the address listed on the front side of this contract, and mailed to you at least 10 days before the date of the proposed disposition (or such other period of time as is required by law).

OBLIGATIONS INDEPENDENT - Each buyer or guarantor who signs this contract owes jointly and severally to pay it according to its terms. This means that:

(a) you must pay the contract even if someone else has signed it;

(b) we may release any co-signer or guarantor and you will still be obligated to pay the contract;

(c) we may release any security and you will still be obligated to pay this contract;

(d) waiver by us of any of our rights will not affect your duty to pay this contract; and

(e) extending new credit or renewing this contract will not affect your duty to pay this contract.

ARBITRATION - All disputes, claims, or controversies arising from or relating to this contract or the relationships which result from this contract, or the validity of this arbitration clause or the entire contract, shall be resolved by binding arbitration by one arbitrator selected by us with consent of you. This arbitration contract is made pursuant to a transaction involving interstate commerce, and shall be governed by the Federal Arbitration Act at 9 U.S.C.§1 et seq. Judgment upon the award rendered may be entered in any court having jurisdiction. The parties agree and understand that they choose arbitration instead of litigation to resolve disputes. The parties understand that they have a right or opportunity to litigate disputes through a court, but that they prefer to resolve their disputes through arbitration, except as provided herein. THE PARTIES VOLUNTARILY AND KNOWINGLY WAIVE ANY RIGHT THEY HAVE TO A JURY TRIAL, EITHER PURSUANT TO ARBITRATION UNDER THIS CLAUSE OR PURSUANT TO A COURT ACTION BY US (AS PROVIDED HEREIN). The parties agree and understand that all disputes arising under case law, statutory law, and all other laws including, but not limited to, all contract, tort, and property disputes, will be subject to binding arbitration in accord with this contract. The parties agree and understand that the arbitrator shall have all powers provided by the law and the contract. These powers shall include all traditional remedies available under applicable law. Nothing in this contract shall be deemed as limiting your or our ability to seek provisional remedies, including, but not limited to, judicial relief, temporary restraining orders, preliminary injunctions, writs of attachment, writs of possession, writs of replevin, and similar relief, prior to the initiation of arbitration. Nevertheless, you agree that, notwithstanding the foregoing, and notwithstanding any contrary provision in this contract, we retain an option to seek judicial or non-judicial relief to enforce a mortgage, deed of trust, or other security agreement relating to the real property covered by a transaction underlying this arbitration agreement, or to enforce the repayment obligations secured by the real property, or to foreclose on the real property. Such judicial relief could take the form of a lawsuit. The institution and maintenance of an action for judicial relief in a court to foreclose upon any collateral, to obtain a monetary judgment or to enforce any mortgage or deed of trust, shall not constitute a waiver of the right of any party to compel arbitration regarding any other dispute or remedy subject to arbitration in this contract, including the filing of a counterclaim in such proceeding by any party hereto to that proceeding.

NOTICE: ANY HOLDER OF THIS CONSUMER CREDIT CONTRACT IS SUBJECT TO ALL CLAIMS AND DEFENSES WHICH THE DEBTOR COULD ASSERT AGAINST THE SELLER OF GOODS OR SERVICES OBTAINED PURSUANT HERETO OR WITH THE PROCEEDS HEREOF. RECOVERY HEREUNDER BY THE DEBTOR SHALL NOT EXCEED AMOUNTS PAID BY THE DEBTOR HEREUNDER.

INSURANCE - You agree to purchase insurance on the secured property against such risks and in such amounts as we may reasonably require. In addition, you agree as follows:

(a) you will arrange for us to be named mortgagee or beneficiary under a standard loss payable clause on any such policy on that are, besides policies from the insured risks will first be paid to us for application against the secured obligations;

(b) you agree that we may, in the event of a loss, require additional security or assurances of payment of the secured obligations as a condition of permitting any insurance benefits to be used for repair or replacement of the property;

(c) you agree to purchase insurance from a company that is authorized to do business in South Carolina and that is reasonably acceptable to us;

(d) you will maintain this insurance until all the secured obligations are paid in full; and

(e) if you fail to obtain or maintain this insurance, or you fail to arrange for us to be named as mortgagee or beneficiary under a standard loss payable clause, we may (but in no event are required to) purchase such insurance which will assure only our interest in the property. The amounts we pay for such insurance will be added to the secured obligations, will be immediately due and will earn interest at the rate in effect from time to time, until paid in full.

WAIVER - You waive (to the extent permitted by law) demand, presentment, notice of acceleration, notice of intention to accelerate, protest, notice of dishonor and notice of protest.

COSTS OF COLLECTION AND ATTORNEYS' FEES - You agree to pay the reasonable attorneys' fees we incur (not in excess of 15% of the unpaid debt) if we hire an attorney to collect this contract in the event of your default, plus any other costs we incur to realize upon any security.

GUARANTEE - You guarantee the payment of this contract. You also agree that all the other terms of the contract will apply to you.

NAME _____

X _____

THIRD-PARTY AGREEMENT

By signing below this addendum, you agree to give us a security interest in and lien on the property that is described on the front side. You agree to be bound by the terms of this contract and security agreement but, regardless of any provision in the contract contained herein, not to be liable for any payment it requires. You agree that we may, without releasing you or the property from this Third Party Agreement and without notice or demand upon you, release, surrender or exchange any item of the property and modify agreements, or take or release other security (including guarantees) for the obligations of any buyer.

You acknowledge receipt of a completed copy of this contract and security agreement.

Date: _____, 19 _____

X _____

Name _____

ASSIGNMENT BY SELLER

Seller sells and assigns to assignee (whose name is printed on the face of this contract) his successors and assigns, all his rights, title and interest in this retail installment contract, and any guarantees executed in connection with this contract. Seller gives assignee full power, either in his own name or in Seller's name, to take all legal or other actions which Seller could have taken under this contract.

Seller warrants:

(a) this contract represents a sale by seller to buyer on a time price basis and not on a cash basis;

(b) that all of the terms of this contract are set forth on this document;

(c) the statements contained in this contract are true and correct;

(d) the down payment was made by the buyer in the manner noted on the face of this contract and no part of the down payment was loaned or paid to the buyer by seller or seller's representatives;

(e) the sale was completed in accordance with all laws and regulations affecting this sale, including, but not limited to, the Federal Truth-in-Lending Act, the Magnuson-Moss Warranty-Federal Trade Commission Improvement Act, Federal Equal Credit Opportunity Act, the Federal Trade Commission Act, and any regulations pertaining to these laws;

(f) that all disclosures made in this contract under federal and state laws have been properly made under these laws;

(g) the buyer was not a minor and had the capacity to enter into this contract;

(h) this contract is valid and enforceable in accordance with its terms;

(i) the names and signatures on this contract are not forged, fictitious or unauthorized, and are true and correct;

(j) this contract is not subject to any claims or defenses on the part of the buyer;

(k) a completely filled-in copy of this contract was delivered to the buyer at the time of execution;

(l) the property has been delivered to the buyer in good condition and/or the services have been performed, and have been accepted by the buyer;

(m) that we have full and perfect title to and right to convey this contract free of any encumbrances, lien or interest of third parties of any nature whatsoever;

(n) the buyer under the contract have no rights to rescind the contract or if such rights existed that due and proper notice of the existence of such rights was given and such rights were not exercised;

(o) all consideration which has been paid for and there are no modifications have been or to be made on the property; and

(p) there have been no material changes in the buyer's income, indebtedness or employment and no other material changes between loan approval and funding. This is a condition to assignee funding this contract.

If any of these warranties is breached or untrue, seller will, upon assignee's demand, purchase this contract from assignee. The purchase shall be in cash in the amount of the unpaid balance including (interest) plus the cost and expenses of assignee, including attorney's fees.

Seller will indemnify assignee for any loss sustained by it because of falsified sig-off or as the result of a recovery which assignee assigns as a result of a claim or defense buyer has against seller.

Seller waives notice of the acceptance of this assignment, notice of non-payment or non-performance and notice of any other remedies available to assignee.

Assignee may, without notice to seller, and without affecting the liability of seller under this assignment, compromise or release any rights against, and grant extensions of time for payment to be made, to buyer and any other person obligated under this contract.

1. **WITHOUT RECOURSE** - This assignment shall be without recourse, except as stated above.

2. **WITH RECOURSE** - In addition to those duties stated above, seller agrees that if buyer defaults in full payment, when due, of any amounts payable under this contract, or in the prompt performance of any obligation to be performed by buyer under this contract, seller will, upon demand, repurchase this contract from assignee in amount of the unpaid balance (including interest) due at that time.

3. **SEPARATE AGREEMENT** - This assignment is subject to a separate agreement with the assignee.

000149

STATE OF SOUTH CAROLINA
COUNTY OF BARNWELL

COURT OF COMMON PLEAS
C.A. No. 96-CP-06-073

DANIEL B. LACKEY, *et al.*,
Plaintiffs,

v.

GREEN TREE FINANCIAL CORPORATION,
Defendant.

ARBITRATION HEARING

* * * *

DAY ONE: Monday, March 6, 2000
10:18 a.m.-3:04 p.m.
DAY TWO: Tuesday, March 7, 2000
DAY THREE: Wednesday, March 8, 2000

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[page 72] MR. SIMPSON: We call Mr. Edwin Lesley, Your Honor.

EDWIN LESLEY, being duly sworn, testifies as follows:

MR. LESLEY-EXAMINATION BY MR. SIMPSON:

Q: Mr. Lesley, could you please tell us a little bit about yourself? Could you please tell us a little bit about your work history and your experience in the banking industry?

[page 73] A: Yes. I entered the banking industry following college in 1970. I was with First National Bank of South Carolina. I spent from 1970 until 1983 with First National

Bank. In 1983, I went to South Carolina Federal and stayed there until merger by First Union in 1993 and left there in mid 1995.

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[page 98] Q: Mr. Lesley, you talked about second mortgage lending with Security Federal or South Carolina [page 99] Federal. Your understanding of the preference notice and when it was required, what is that understanding?

A: That if a consumer loan was made secured by real estate, then the consumer was entitled to receive preference.

Q: Did it depend on the charging of attorney's fees at all?

A: No, it did not.

Q: When was that your understanding, what year?

A: In the time frame of '83 for sure, but . . .

Q: Okay.

A. . . . at exactly what point in time that I became actively involved in it, I can't tell you.

Q: So that was your understanding prior to the administrative interpretation issued in '93?

A: Absolutely.

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STATE OF SOUTH CAROLINA
COUNTY OF BARNWELL

COURT OF COMMON PLEAS

CASE NO. 98-CP-06-073

DANIEL B. LACKEY, GEORGE BUGGS, FLORINE BUGGS, MICHAEL HIGHSMITH, AND PAULA JOHNSON, on behalf of themselves and all others similarly situated,
Plaintiffs,

vs.

GREEN TREE FINANCIAL CORPORATION,
Defendant.

DEPOSITION OF: HARRY J. HAYNSWORTH, IV

DATE: March 8, 2000

* * * *

[page 3] Q. I want to go through some preliminary matters with you, Mr. Haynsworth, and then I want to go through some more specific matters; but would you please advise me when you were asked by Green Tree to come appear in this arbitration?

[page 4] A. Probably about a month ago.

Q. Okay. And who contacted you?

A. Mr. Robert Byrd.

Q. And what did Mr. Byrd ask you to do?

A. He asked me if I would be willing to be a witness in the—in the arbitration hearing. Basically, what was involved were questions relating to attorney's fees and insurance agent

preferences. And there was one of a number of different statutes that had been filed over those provisions in the South Carolina Consumer Credit Code.

* * * *

[page 8] Q. Now, what do you expect that your testimony is going to do to assist Green Tree in this matter?

A. I'm not really sure what I'm going to talk about—or what I thought I was going to talk about, if I'm allowed to talk about it, is the way all these various statutes were pieced together and what the understanding was when that was—when that [page 9] was done.

Q. What whose understanding was?

A. Well, it would have to be my understanding since I'm the one that drafted the statutes. And, in fact, the process that was followed in this particular—when the statute was revised in 1982, which is the Act 385, which is basically the rewrite of the Consumer Protection Code, that that was done with a group of both creditors and lenders and representatives of consumer—Department of Consumer Affairs and all the statutes were drafted by consensus.

The process followed was that certain proposals were made and then everybody reviewed them and then, after everybody had agreed, either something should be in or out, then it was my job to basically draft that consensus.

* * * *

[page 76] Q. So even under your reading of the law, all of this period of time, Green Tree should have been giving the insurance preference notice; correct?

MR. BYRD: Objection to the form.

THE WITNESS: Assuming that they were [page 77] charging the borrower for hazard or—or requiring the borrower to have hazard, whatever insurance, they should have been giving the attorney preference notice, yes.

BY MR. HAMM:

Q. And even under your testimony regarding intent, that was clear prior to Tilley; correct?

A. Yes.

Q. That was clear prior to the 1993 administrative interpretation; correct?

A. Yes.

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